

How do you develop an investment philosophy that promotes patience during the rough spells and the discipline to overcome rash responses to breaking news?

These are crucial issues for all investors, both do-it-yourselfers and fund buyers. How principles are put into daily practice may vary from investor to investor, but it is the overarching approach to the market that in the end is the most important factor in determining investment success. Sharing what I have learned over twenty-five years should contribute to your understanding of what moves markets and individual stocks, and help you decide upon your own investment course.

Don't expect a double-your-money-in-half-the-time book. Your goal should be a steady accumulation of wealth. Lotteries are a fool's game. Indeed, I am highly skeptical of much of what I read and hear daily about market opportunities. History suggests that most of today's hot new stock issues will be in cold storage in five years.

Of course, that doesn't mean you can't try to make 16.8 percent a year instead of 13.1 percent!

The Times That Try Men's Patience

Average annual returns, of course, mask the fact that some years were exceptionally generous and some years frustrating, even bitter. It didn't take me long to find out about the unpleasant stretches.

The Acorn Fund was born on December 31, 1969, "just in time," as I wrote in my first annual letter to my tiny flock of shareholders, "to wish we were in some other business." April and May of 1970 brought one of the "severest bear markets since the 1930s." In just